SMID BREAKOUT SCANNER

SCAN (18:13 ET)

October 14, 2026 | 06:14 PM ET

4 setups identified | 0 A-Grade | 2 B-Grade | 2 C-Grade

Grade Summary

A - Breakout Setup (0)	B - Strong Setup (2)	C - Watch List (2)
	DAO	NRIX
	PRGO	MNSO

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
B	DAO	Youdao, Inc.	China EdTech AI	$19.50	+7.6%	$2.4B	28M	+30.2	100%	Breaking to 52-week hi
B	PRGO	Perrigo Company	Healthcare Value	$15.95	+3.8%	$2.2B	138M	+48.1	72%	Rally driven by sector
C	NRIX	Nurix Therapeuti	Biotech Targeted	$23.67	+7.0%	$2.6B	78M	-1.4	84%	Post-earnings bounce (
C	MNSO	MINISO Group Hol	China Retail Reco	$10.22	+3.0%	$3.0B	85M	-23.6	44%	

Not financial advice. For informational purposes only. Do your own due diligence.

DAO

Youdao, Inc.

$19.50

+7.62%

RS vs SPY: +30.2%

B STRONG SETUP

$2.4B Cap | 28M Float

Education & Training Services | Theme: China EdTech AI | 52W Hi: 100% | Base Tight: 6.13 | Vol: 1.99x | RS/SPY: +30.2% | Above 20MA: YES | EARNINGS IN 36D

SETUP METRICS

Price	**$19.50**
Day Change	**+7.62%**
Mkt Cap	**$2.35B**
Float	**28M sh**
RS vs SPY	**+30.2%**
52W Hi Prox	**100%**
Base Tight	**6.13**
Vol vs Avg	**1.99x**
RS Line Hi	**YES**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Breaking to 52-week highs on strong volume as China EdTech regulatory overhang lifts and AI-powered learning tools gain adoption. Forward catalyst: Nov 19 earnings (36 days) will be critical to confirm revenue inflection and guide FY27 growth trajectory after regulatory reset.

BUSINESS & POSITION

Youdao is NetEase's intelligent learning subsidiary, offering AI-powered education tools, online courses, smart devices (e.g., dictionary pens), and content services across China. The company has pivoted from pure tutoring to AI-enabled learning solutions post-regulatory crackdown, positioning as a technology platform rather than a tutoring mill.

FACTOR & THEME

Exposed to China reopening, EdTech recovery post-regulation, and AI integration into consumer learning products. Theme momentum is mixed-regulatory tail risk persists but AI narrative provides new legs. Small float (27.5M) amplifies volatility and squeeze potential.

BREAKOUT SIGNAL

Close above $19.50 (52W high) on vol >199% of 20d avg

INSTITUTIONAL

Volume 1.99x on a 52-week breakout suggests institutions are chasing the move. No insider buying in last 60 days. Float is tight (27.5M), creating potential for sharp moves on incremental buying. However, ADR structure and China exposure may limit top-tier U.S. growth fund participation. Ownership data unavailable from feed-recommend cross-referencing 13F filings for institutional positioning.

EARNINGS

EARNINGS IN 36D

EARNINGS CONTEXT

Earnings Nov 19. Consensus and beat history not provided in feed. Post-regulatory reset, prior quarters have been volatile-any guidance that confirms stabilization or AI monetization will be material. Serial beat history would justify re-rating; a miss or soft guide invalidates the setup immediately given extended entry.

KEY RISK

Thesis invalid on any close back below $17.50 (prior resistance), or if Nov 19 earnings disappoint on revenue growth or AI adoption metrics. China regulatory risk (policy reversal on EdTech) and ADR delisting concerns remain structural overhangs.

ANALYSIS

52-week high breakout with RS line at new high and strong 12-week outperformance (+30.2 vs SPY) is textbook leadership. However, base is wide (6.13 ATR) and volume barely clears 2x threshold. Strongest disconfirming evidence: China ADR structure, regulatory overhang, and no insider buying signal caution. Breakout is legitimate but lacks the coiled base and institutional confirmation for A-grade. Conviction: Medium.

Signal: Close above $19.50 (52W high) on vol >199% of 20d avg

Vol vs Avg: 1.99x

DAO - Technical Chart



PRGO

Perrigo Company plc

$15.95

+3.77%

RS vs SPY: +48.1%

B STRONG SETUP

$2.2B Cap | 138M Float

Drug Manufacturers - Specialty & Generic | Theme: Healthcare Value Recovery | 52W Hi: 72% | Base Tight: 2.77 | Vol: 1.59x | RS/SPY: +48.1% | Above 20MA: YES | EARNI

SETUP METRICS

Price	**$15.95**
Day Change	**+3.77%**
Mkt Cap	**$2.21B**
Float	**138M sh**
RS vs SPY	**+48.1%**
52W Hi Prox	**72%**
Base Tight	**2.77**
Vol vs Avg	**1.59x**
RS Line Hi	**YES**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Rally driven by sector rotation into defensive Healthcare (+2.3% vs SPY this week) and RS line breaking to new high, signaling institutional accumulation. Forward catalyst: Nov 4 earnings (21 days) will test whether private-label consumer health recovery and Rx margin improvement are sustainable into 2027.

BUSINESS & POSITION

Perrigo is a leading manufacturer of store-brand OTC consumer health products and generic prescription pharmaceuticals, serving major U.S. and European retailers. The company has been restructuring to improve margins, divest non-core assets, and capitalize on private-label penetration trends as consumers trade down amid inflation.

FACTOR & THEME

Direct exposure to Healthcare sector leadership and consumer staples defensive bid. Private-label penetration is a structural tailwind as inflation-sensitive consumers shift from branded to store-brand OTC products. Sector momentum is accelerating (Healthcare +2.3% vs SPY this week), aligning with risk-on rotation into lagging value.

BREAKOUT SIGNAL

Close above $15.95 on vol >159% of 20d avg

INSTITUTIONAL

Volume 1.59x is modest but RS line at new high confirms smart money is positioning ahead of the crowd. No insider buying in last 60 days. Large float (138.1M) suggests this is liquid enough for institutional blocks but dilutes squeeze potential. Ownership data not available from feed-recommend 13F cross-check. Sector bid and RS breakout imply accumulation, but lack of volume surge tempers conviction.

EARNINGS

EARNINGS IN 21D

EARNINGS CONTEXT

Earnings Nov 4 (21 days). Consensus not provided. Recent quarters have shown uneven progress on turnaround; a beat with raised guidance on consumer health margins would confirm the thesis. Any miss or cautious guide into Q4/FY27 invalidates the setup given proximity to earnings.

KEY RISK

Thesis invalid on a close below $15.00 (approximate 20MA support) or any disappointment at Nov 4 earnings-particularly on consumer health volume or Rx pricing. Generic pricing pressure and retailer destocking are structural headwinds that could resurface.

ANALYSIS

RS line at new high with +48.1 12-week outperformance is elite relative strength in a leading sector (Healthcare). Strongest disconfirming evidence: proximity to 52W high is only 72.4% (not yet breakout zone), base is wide (2.77 ATR), and volume is below institutional threshold (1.59x). Earnings in 21 days are too close for comfort without a tighter base. Solid B-grade momentum play, not an A-grade inflection. Conviction: Medium.

Signal: Close above $15.95 on vol >159% of 20d avg

Vol vs Avg: 1.59x

PRGO - Technical Chart

